

Cost Management (EVM) - Key Terms Glossary

SECTION: Planned Value (PV)

The authorized budget assigned to scheduled work as of a specific point in time.

SECTION: Earned Value (EV)

The value of work actually completed, expressed in terms of the approved budget.

SECTION: Actual Cost (AC)

The actual cost incurred for the work completed so far.

SECTION: Budget at Completion (BAC)

The total planned budget for the entire project.

SECTION: Cost Performance Index (CPI)

EV divided by AC; a value above 1 indicates efficient cost performance, below 1 indicates a cost overrun.

SECTION: Schedule Performance Index (SPI)

EV divided by PV; a value above 1 indicates the project is ahead of schedule.

SECTION: Estimate at Completion (EAC)

The forecasted total cost of the project if current cost performance continues, calculated as BAC divided by CPI.

SECTION: Variance at Completion (VAC)

BAC minus EAC; the projected budget surplus or deficit at project completion.

SECTION: To-Complete Performance Index (TCPI)

The cost efficiency required for the remaining work to meet the budget at completion.

SECTION: Cost Baseline

The approved, time-phased budget used to measure cost performance, excluding management reserve.